

Intentional and Strategic Outsourcing and Automation: A New Era of Revenue Cycle Management

By: Renee Mary Stephens & Pavani Munjuluri



Renee Mary Stephens

Healthcare organizations across the country — from small regional hospitals to large physician groups — are facing a difficult truth. Denial rates are climbing, payer rules are changing faster than staff can keep up, and administrative costs continue to rise. At the same time, staffing shortages are stretching teams thin. Many organizations are realizing that the traditional playbook — hiring more billers or plugging in one-off automation tools — no longer works.

What's needed now is a more intentional, strategic approach: outsourcing and automation working hand in hand, guided by clear goals and measurable outcomes.

When Outsourcing Becomes Strategic

For years, outsourcing in revenue cycle management (RCM) was treated as a stopgap — a way to handle overflow work, cover staff shortages, or reduce costs. But when done with intent, outsourcing can transform an organization's financial health.

Consider the case of a large physician group with over 80 providers. Their front-desk staff were spending hours every day calling payers and navigating online portals to verify insurance eligibility. Despite their effort, mistakes slipped through, leading to denied claims and frustrated patients. Instead of hiring additional staff, the group chose to outsource eligibility verification to a partner that used both skilled staff and automation. Within six months, eligibility-related denials dropped by 22%, front-office staff reclaimed 15 hours a week, and patient scheduling ran more smoothly.

Industry-wide, the need for these strategies is clear. Studies show that hospitals and physician groups lose between \$262 billion and \$420 billion annually due to inefficiencies in the revenue cycle. Meanwhile, staffing shortages remain persistent, with revenue cycle teams reporting turnover rates exceeding 25% in some regions. For many organizations, outsourcing is no longer about cost savings — it's about survival.

Beyond Bots: The Role of Automation - Multi-Agent AI: A Smarter Model for Automation

While hospitals and physician groups have struggled with staffing shortages, rising denial rates, and growing administrative complexity, automation itself has matured far beyond simple bots. Through the ongoing collaboration of AI and automation start-ups with forward-thinking hospital executives, physician group leaders, and revenue cycle professionals, these technologies are delivering real results.

What makes today's solutions different is that AI is no longer just rule based. By leveraging various aspects of Artificial intelligence (AI), robotic process automation (RPA), and machine learning, it is learning the nuances of payer behavior, coding variations, and clinical documentation patterns. It has become more nimble, able to adapt to shifting policies and payer requirements in ways that static automation never could. In doing so, AI isn't just filling gaps; it is actively helping the healthcare industry evolve, offering organizations a smarter, more resilient way to manage complexity at scale.

At CognitiveHealth, we advocate for multi-agent AI platforms that orchestrate the entire RCM workflow — not just pieces of it.

- **Cash Posting:** Automated posting improves speed and accuracy.
- **Denials Management:** AI identifies root causes, proposes remediation, and accelerates appeals.
- **Correspondence Handling:** Payer communications are intelligently routed and resolved.

This integrated approach delivers measurable results:

continued on page 29



Pavani Munjuluri

continued from page 21

1. Regularly Updating Charge Capture Policies: Ensure that charge capture policies are reviewed and updated regularly to reflect changes in payer requirements and industry standards. This includes updating HCPCS code assignments, revenue codes, and charge descriptions.

2. Standardizing Cost Markups: Implement a standardized approach to cost markup that is defensible and aligned with industry benchmarks. This helps ensure that pricing is consistent across the organization and reduces the risk of payer pushback.

3. Conducting Regular CDM Audits: Perform regular audits of the CDM to identify and address issues such as missing HCPCS codes, outdated pricing, or misaligned charge capture policies. This proactive approach can help prevent denials and ensure compliance.

4. Collaborating with Clinical Teams: Work closely with clinical teams to understand the cost and value of supplies and pharmacy items. This collaboration can help ensure that pricing accurately reflects the cost of care while also supporting clinical decision-making.

By adopting these best practices and taking a strategic approach to pricing, hospitals can strengthen their revenue integrity, reduce denials, and ensure they are capturing the full value of the care they provide.

About the authors

BreAnn Meadows, FHFMA, is President of Panacea's Revenue Integrity Services Division, where she leads nationwide initiatives in chargemaster optimization, patient advocacy, and compliance solutions for hospitals and health systems. With over 25 years of executive experience spanning hospital leadership and consulting, she brings deep expertise in healthcare finance and revenue cycle strategy. A Fellow of HFMA and past president of the Northeast PA Chapter, Bre is widely recognized as a thought leader and frequent speaker on revenue integrity and compliance at regional and national conferences. BreAnn can be reached at bmeadows@panaceainc.com.

Govi Goyal leads Panacea's team of financial and revenue integrity experts who strategically partner with hospitals, health systems and other providers to grow their financial and revenue integrity performance, and to comply with recent CMS Price Transparency and other regulations through the use of technology. He has held several leadership roles within the high-tech and big 4 consulting space and served on the provider side working for large academic and not-for-profit community-based health care systems. Govi can be reached at ggoyal@panaceainc.com.

continued from page 22

roles? How is healthcare courting these resources to create teams that can drive business continuity for today and the future? How can technologies be folded into processes to optimize productivity, revenue and team satisfaction? Recently, LinkedIn spotlighted the top 25 metropolitan areas as Cities on the Rise US due to the opportunities for job hunters. Healthcare and hospitals were consistently listed as top hiring sources. The article points to a variety of methods being used to attract early, mid and senior level candidates. One southeast system focuses on early careerists for initial recruitment, but also offers pathways for growth through career coaching, working with community organizations and offering training programs which can also benefit those bringing experience from outside healthcare. Several hospitals are working on attracting job seekers with external industry skills that can augment areas with outside experiences. A multiple state academic medical system in the Northeast is actively recognizing the viability of those with transferable skills. Technology and financial services backgrounds have been identified as areas which could have symmetry within the healthcare scope. Many of these industries have been pioneers with developing and deploying new technologies concurrently with process improvements.

Regardless of the makeup of the teams built, use of these evolving technologies has been met with mixed results and changing viewpoints on how best to deploy them. "Flipping

the switch" and hoping for the best, or trusting that solutions will perform as designed, is no longer an option. It is up to organizations to understand that human-centric use and measurement of these solutions is mission critical for overall stewardship and legacy of the industry and the patients we serve. Let's look forward together to ensure enduring support for our teams and our communities.

About the author

Sandra is a seasoned client development executive and recognized thought leader with 15+ years of experience in revenue cycle solutions, partnerships, and process optimization. Currently Vice President of Client Development at Professional Credit, she's held key roles at Kode Health, ITx, and Financial Health Strategies, specializing in negotiations, client management, and team building to help optimize revenue cycle processes. She's an active member of ACHE, AAHAM, and HFMA, she served as President of the Northern New England HFMA chapter and received multiple honors, including Yerger Awards, the Follmer Bronze, Reeves Silver, and Muncie Gold Merit Awards. She's authored several articles on ACA, 501R, best practices for eligibility, and personal branding, and has presented at numerous industry events, including HFMA Women in Healthcare Symposiums across the country. Sandra can be reached at spinette@professionalcredit.com.

continued from page 27

reduced denial rates, faster collections, and healthier margins — all without increasing administrative overhead.

An urgent care organization recently discovered this firsthand. Struggling with a backlog of payer correspondence and mounting denials, they partnered with an AI-enabled outsourcing provider. Instead of relying solely on human staff, the partner deployed multi-agent AI that could read, classify, and route payer letters instantly while flagging high-risk denials for immediate review. Within a year, the organization reduced its denial resolution time from 45 days to 18 and recovered revenue that had previously been written off.

This aligns with industry benchmarks. Best-in-class organizations aim for denial rates below 5%, a clean claim rate above 98%, and days in A/R under 40. Yet, according to HFMA data, the average hospital denial rate is now closer to 10–12%, double the industry target. Without automation and analytics, most organizations fall behind.

Measuring What Matters

Of course, no outsourcing or automation initiative is complete without a clear plan for measurement. Leaders need to see the return on investment, not just in financial terms, but also in operational efficiency.

A small regional hospital in the South partnered with an outsourcing provider to handle cash posting. With thousands of payments flowing in from payers and patients each month, the hospital's staff often struggled to keep up, leading to reconciliation delays. By outsourcing the function to a partner that combined staff expertise with automation, the hospital cut reconciliation times in half. Days in A/R dropped, staff stress decreased, and finance leaders had a clearer, real-time picture of cash flow.

Nationally, outsourcing and automation initiatives often deliver a 30–40% improvement in productivity, and in some cases, hospitals have reported recovering hundreds of thousands of dollars annually in revenue that would otherwise have been written off.

Compliance and Trust as Cornerstones

Every healthcare leader knows the risks that come with outsourcing and automation: HIPAA compliance, CMS rules, payer policies, and cybersecurity concerns. That's why trust and transparency are essential in building the right partnerships. The best outsourcing and automation providers don't operate as black boxes. They provide dashboards, audit trails, and regular reporting so organizations can see exactly how claims are being processed, how denials are being resolved, and where

improvements are happening. Some even tie their fees to performance metrics, ensuring that they share the same risks and rewards as their clients.

When outsourcing and automation are intentional, compliance and security aren't afterthoughts — they are embedded into every workflow.

A Call for Intentionality

Healthcare organizations today don't have the luxury of trial and error. Margins are too thin, and the stakes are too high. The future belongs to hospitals and physician groups that treat outsourcing and automation not as quick fixes, but as strategic pillars of their revenue cycle strategy.

- Outsource with intent, focusing on functions where outside expertise and technology add the most value.
- Automate strategically, deploying integrated AI solutions that manage entire workflows instead of piecemeal tasks.
- Measure relentlessly, holding partners accountable for financial and operational results.
- Build partnerships, not transactions, where trust, transparency, and shared goals define success.

Healthcare reimbursement may be getting more complex, but with intentional and strategic outsourcing and automation, organizations can build resilience, improve financial stability, and create space for what truly matters: delivering exceptional patient care.

About the authors

Renee Mary Stephens — Renee has 20+ years of revenue cycle experience and is currently Director, RCM National PAR, Self Pay, and Cash Management for MindPath Health. Prior to joining MindPath, Renee held management positions at Dayton Children's Hospital in Rev Cycle, physician billing and billing operations.

Pavani Munjuluri — Pavani has 25+ years of experience across healthcare technology, outsourcing and consulting. She is currently the Co-founder and CEO of CognitiveHealth Technologies, an AI-driven healthcare company revolutionizing revenue cycle operations and financial outcomes through automating administrative workflows. She created significant business impact in her various senior leadership positions at large tech companies and healthcare start-ups, driving the development of groundbreaking digital healthcare products. Pavani can be reached at pavani@cognitivehealthit.com.